Exercise

EP46U

I. Choose the Correct Answers:

1. **Negotiable Instrument Act was passed in the year _____.**
   a. 1981 b. 1881
   c. 1994 d. 1818
2. **Number of parties in a bill of exchange are**
   a. 2 b. 6
   c. 3 d. 4
3. **Section 6 of Negotiable Instruments Act 1881 deals with**
   a. Promissory Note b. Bills of exchange
   c. Cheque d. None of the above
4. **_____ cannot be a bearer instrument.**
   a. Cheque b. Promissory Note
   c. Bills of exchange d. None of the above
5. **A cheque will become stale after _____ months of its date:**
   a. 3 b. 4
   c. 5 d. 1

Answers:

1	b	2	c	3	c	4	b	5	a

II. Very Short Answer Questions:

1. What is meant by Negotiable Instrument?
2. List three characteristics of a Promissory Note.
3. What is a meant by Cheque?

III. Short Answer Questions:

1. Distinguish between Negotiability and Assignability. (any 3)
2. What are the characteristics of a bill of exchange? (any 3)
3. Draw the two different types of crossing.

IV. Long Answer Questions:

1. Distinguish a cheque and a bill of exchange. (any 5)
2. Discuss in detail the features of a cheque. (any 5)
3. What are the requisites for a valid endorsement? (any 5)

References:

N.D. Kapoor, Elements of Mercantile Law, Sultan Chand & Sons Pvt. Ltd. New Delhi, 2014

P.C. Tulsian& Bharat Tulsian, Business Law, S. Chand publishing, New Delhi 2014

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